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Tentative Ruling

Re: **Mic-Bry8, LLC v. Romelia Valdez**
Superior Court Case No. 26CECG00676

Hearing Date: July 16, 2026 (Dept. 501)

Motion: by Petitioner Mic-Bry8, LLC for Approval of Transfer of Payment Rights

Tentative Ruling:

To deny without prejudice.

Explanation:

The Structured Settlement Protection Act governs transfers of structured settlement payments to factoring companies for immediate cash payments. (See Ins. Code, §§ 10134 et seq.) The Act's purpose is to "protect structured settlement payees from exploitation by factoring companies." (*RSL Funding, LLC v. Alford* (2015) 239 Cal.App.4th 741, 745.) The Act provides that a transfer of structured settlement payment rights is void unless the following conditions are met:

- 1) The transfer is fair and reasonable, and in the payee's best interest, taking into account the welfare and support of the payee's dependents (Ins. Code, § 10137, subd. (a)); and
- 2) The transfer complies with the requirements of the Act, will not contravene other applicable law, and the judge has reviewed and approved the transfer (Ins. Code, § 10137, subd. (b); Ins. Code, § 10139.5.).

To determine what is fair and reasonable, and in the payee's best interest, the court is to consider the totality of the circumstances and the factors listed in Insurance Code section 10139.5, subdivision (b), including the purpose of the transfer and the payee's financial and economic situation. (Ins. Code, § 10139.5.)

The court does not have sufficient information to determine whether the transfer is fair and reasonable. The purchase agreement and disclosure statement attached as Exhibits A and B to the Petition compare the sale of \$313,240 in future monthly payments, discounted to a present value of \$120,630.80, to a loan of \$15,000 with an interest rate of 16.66% and ultimately paying \$120,630.80 over the term of the loan. In this illustration the Payee is paying \$105,630.80 in interest for a loan of \$15,000. The transaction appears usurious. To accrue this amount of interest term of the loan would exceed 40 years, longer than the 29 years until the last payment to be sold is made. More information is requested to demonstrate how this transaction is fair and reasonable.

